commitment' to stabilizing the rupee, and added that in the given context, the benefits of rupee stability outweighed any short-term sacrifice of growth. This was entirely consistent with what I had said at the media conference the previous day, but rephrasing it this way conveyed the message in the form that the market wanted to hear. I corrected for the nuance too. The previous day, I had said that *these measures will be withdrawn when* the rupee became stable. Now I turned around the nuancing to affirm that that *these measures will not be withdrawn until* the Reserve Bank had firm evidence that the rupee had stabilized. Perhaps that sounded alpha male enough. The market reacted positively and the rupee swiftly reversed the losses of the previous day.

It was fortuitous that there was an analysts' conference the following day offering me an opportunity to regain control of the narrative. What would we have done in the absence of such coincidence? Very rarely do central banks issue rejoinders on the statements by their governors or the senior management, and when they do, it is mostly to correct a misquotation rather than a misinterpretation. I found that the best way to correct a misinterpretation is to be opportunistic and slip in the 'guidance' slyly in a doorstop interview or in a speech.

For example, in early December 2011, we noticed that the daily aggregate borrowing by the commercial banks from the Reserve Bank's LAF window had suddenly spiked, breaching the indicative norm (1 per cent of NDTL) for several days in a row. This tightness arose from a combination of circumstances, including advance tax payments which have the effect of shifting money from open circulation to the government's account with the Reserve Bank. This was also a time when the rupee was under pressure and we were intervening in the forex market fairly regularly. Since we were selling dollars for rupees, our intervention was squeezing out rupee liquidity and adding to the liquidity tightness.

In a media interview in Kolkata later in December, following the Reserve Bank board meeting there, I had acknowledged that systemic liquidity was tight and said that we would be taking action to ease the situation. There were many options open to the Reserve Bank to ease liquidity, and